Pricing Strategy & Revenue Optimization

Pricing as strategy, not just economics

Last session you built the smallest thing a customer would pay for. Tonight: what to charge for it.

Tonight's agenda

1 · The concepts

What sits under every pricing decision. Value, the sales process, a little supply and demand, the long view.

2 · The strategies

Eleven ways to set a price. How you package it. What the price says about you. When the market sets it for you.

3 · Wrap up

What to settle before you quote a number. Why you never drop the price once you have. How to raise it.

The 4 Foundation Questions

1. What problem do you solve?
2. Who's got it?
3. What's the impact of the problem today?
4. Who's willing to pay to make it go away?

Question 3 is your pricing input. What the problem costs them today, in dollars, hours, or risk, is the most a solution is worth. If you can't put a number on the impact, you can't price the fix.

Understanding the sales process



Price is the final buy hurdle.

Same deal, two ideas of the value





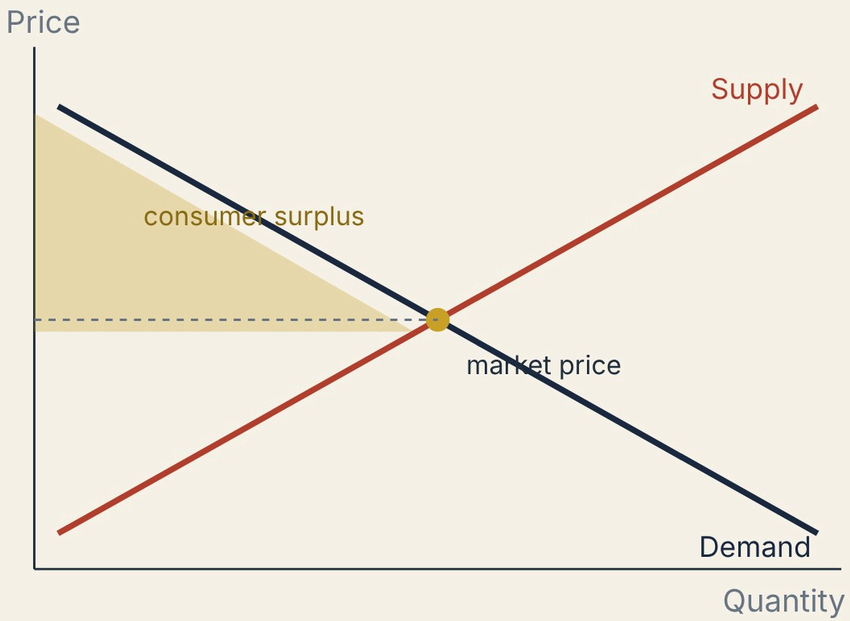
Vanguard

"AOL is building their brand on us."

AOL

"We're providing Vanguard with new accounts and service enhancements."

Supply, demand, and the money you leave on the table



Where the curves cross

Demand: how many will buy at each price. Supply: how many you'll sell at each price. Where they cross is the market price. Nothing you set overrides it for long.

Consumer surplus

The gap between what they would have paid and what you charged. Every buyer above the line got a deal. If nobody ever flinches at your price, you're too low.

Turning work away?

If you have more demand than you can handle, your price is too low. Raise it until the line thins out.

"Supply creates its own demand."

JEAN-BAPTISTE SAY

Pricing is part of the corporate strategy



Get · Keep · Grow · refer

It's a loop, not a funnel. The customers you keep grow, and the ones you grow send you the next ones. Price is what decides whether the loop runs.

Amazon

Lost money for years buying customers. The price of the book was never the point. The customer was.

The simple case: a single sale

Stress value

Product or service, same rule. Sell the result, not the parts list.

Give them options

Present two or three. Make the cheapest so bare-bones nobody picks it. *Decoy pricing:* the low option exists to make the next one look right.

Bundle

Put the thing they came for next to the thing they didn't know they needed. Bigger ticket, harder to line-item.

If it's a service

Offer the multi-month engagement, not the month.

Pricing tiers

1

Education

Students learn on your product and take it into the businesses they join. You're pricing your future advocates.

2

Small business <100 seats

The one most people buy. Seats, accounts, and volume set the range, and every range has an upgrade waiting at the top of it.

3

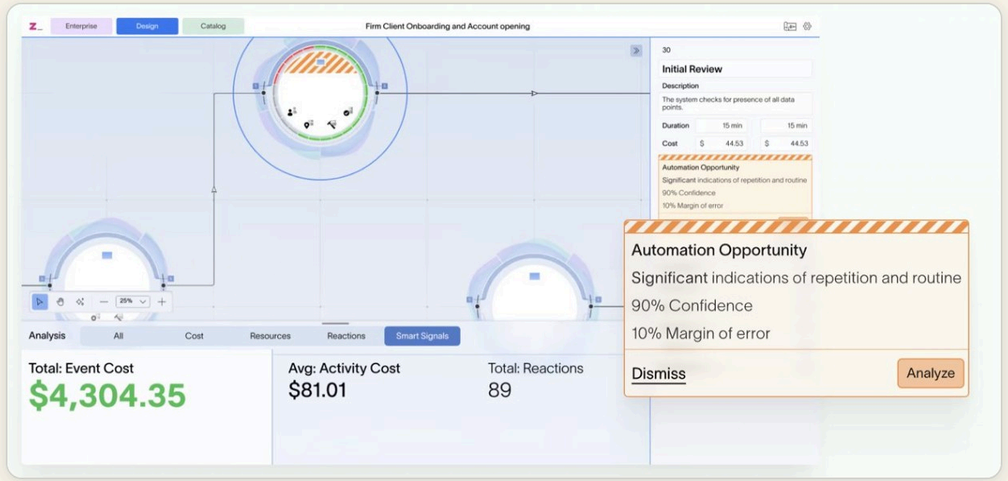
Medium 100–5,000 seats

Room to grow inside the tier, and a clear jump when they outgrow it.

4

Enterprise

The anchor. The first number they see frames every number after it. Some buy it. Everyone else feels fine about the middle.



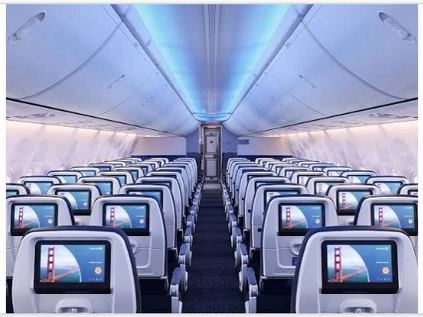
Zenda · usage and automation signals drive the tier

Same product, different levels of contact



Tony Robbins

The book. The seminar. The coach. Same content at every level. The price follows the personalization and who's in the room with you.



Airlines

Same plane, same runway. The seat is what you're pricing.



Uber

Same trip. Different car, different price.

What you're actually pricing: not the content. The level of contact, the personalization, the tailoring. Build the ladder and let them pick the rung.

Lease or rent vs. buy



Two different profits

Sell it: product profit, once.
Lease it: financing profit, every month, and you still own the asset.

What it costs you

Capital locked up in assets you don't get paid for yet. Revenue that arrives over years instead of at close. **Your pricing strategy sets your financial strategy.**

The lease passes the sale, then keeps going. You wait for it, and you carry the asset until it does.

Ten minutes.

Back at 6:55. Bring one price you charge today.

Price signaling







Does a higher price mean higher quality?

Often enough that people use it as a shortcut. With nothing else to go on, the expensive one is assumed to be better.

Does the price convey an image the owner wants?

The price is part of what they bought.

Provider quality

Investment management

Vanguard. Goldman Sachs. The independent advisor. Same market, three prices.

Medical

Nobody shops for the cheapest surgeon.

Coaches and trainers

The price is the promise.

Transaction specialists

Real estate agents. Fundraisers. Event planners. Paid on the size of the moment.

The marketing effort and spend it takes to hold a price level is part of the price. **It's all brand equity.** Example: Peters Design Co.

The selling experience supports the price



The VW Phaeton

A $70,000 to $100,000 car, built to Bentley standards. Sold from Volkswagen dealers. Serviced in the same bay as the Jetta. About 3,350 sold in the U.S. Gone by 2006.

STORY SLOT



Eleven Madison Park

Same ingredients any good kitchen can buy. The room, the service, and the story are what the price is for.

The experience around the sale either holds the price up or takes it down. Where you sell and how you sell are pricing decisions.

The low-cost strategy





Know what you're signing up for

- A race to the bottom. You might win.
- You're only as profitable as your dumbest competitor.

How you win it

- Own the market *and* own the supply chain.
- Reduce the field to one or two players.
- Then raise prices.

Adaptive pricing



Coca-Cola, 1999

CEO Doug Ivester told a Brazilian magazine about a vending machine that raised the price on hot days. "It is fair that it should be more expensive." The reaction was immediate and it never shipped.



Amtrak

Fares by time of day and date. Vacation rentals by season and weekend. Nobody blinks.

Price up to capture demand and scarcity.

Price down to drive usage in slack periods.

The line: whether the customer feels it's fair.

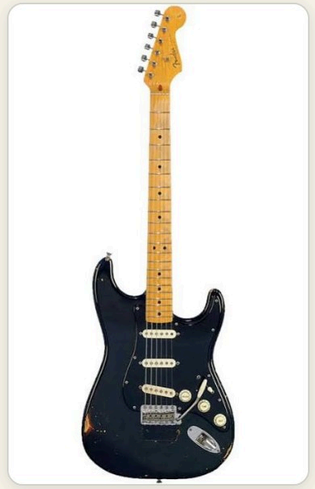
One-time availability

Promote the scarcity

This may be the only chance. A Picasso. The one house on the point. Hendrix's guitar. The last case of the vintage.

Price stops being the driver

Or it hands all the leverage to the seller. The added value is the status of having it. Generate energy around the process and the competition to own it.



The Black Strat

$3.975M
BOUGHT · 2019

→

$14.5M
SOLD · MARCH 2026

Same guitar. Seven years. The scarcity didn't change; the story around it did.

Auctions: letting the market set the price

How it works on people

- Agents stoke the fire. FOMO and deal fever.
- Bargain shoppers show up, then get fixated on winning.
- **The presentation drives the price.**

What it's good for

- Moving unwanted inventory by manufacturing the demand.
- Online ads. M&A. Financial markets. Fine art. Foreclosed houses.

The downside

You misjudged demand, or the market disagrees with you on value. In public.



The Jim Irsay Collection · Christie's, March 2026

44/44	$84.1M	373%
LOTS SOLD	ONE NIGHT	OVER ESTIMATE

Twenty-three records in one sale. A guitar is worth what someone is willing to pay for it.

WRAP UP

Settle these before you set your prices

- **Market entry conditions.** New market and new product. New product in an existing market. Resegmenting an existing market. A new low-cost option. Geo-replicating a proven model. Each one prices differently.
- **Switching cost.** What it costs the customer to leave what they have.
- **Referrals.** Highest-quality leads, best conversion. Build a compensated referral plan and publish what the top referrers make.
- **Longer terms.** Don't be shy about a significant discount for a longer engagement.
- **Early pay.** If they'd pay early just because you asked, ask. Cash now beats margin later when you're early stage.
- **Favored nations.** Early adopters and marquee clients who give you validation: they always get the best deal anyone gets. Decide your answer now. They will ask.

WRAP UP

Never drop your price after you set it

What a cut says

- You never believed the number.
- The negotiation just started, and you moved first.

Don't discuss your costs

Talk about their problem and what the solution is worth.

Trade instead

- A discount for a fast close
- A discount in a truly competitive situation
- A discount for something back: a longer term, referrals

Why a discount costs more than it looks

At a 47% gross margin, giving 10% off means you have to sell **27% more** just to make the same gross profit dollars. At a 30% margin it's **50% more**. Run it at your margin before you ever say yes.

WRAP UP

Raising prices on existing customers

New customers first

Every new deal at the new price. Nobody to explain it to.

Give notice

Sixty to ninety days. Effective date in writing.

Grandfather, or don't

Decide per customer, not per mood. The ones you grandfather are the ones who refer.

The script

"Effective [date], our rate for [service] is $[new]. Your current engagement runs unchanged through [date]. Nothing else about how we work together changes."

No apology. No explanation of your costs.

Rising prices are not uncommon. Don't worry about having this conversation.

This week

Take-home · two prompts

- **P4 · Competitive Analysis** — feed it your P1 and P2 from S07. Who else solves this, what they charge, how they structure it.
- **P5 · Pricing Analysis** — feed it P1, P2, and P4. Cost of the problem, alternatives, three tiers, and the raise-your-price script.

Both write to `pricing_analysis.md`. Keep it. It feeds S09.

Posted to the community tonight

- P4 and P5 prompts
- `pricing_analysis.md` template
- Slides and PDF

Pick one price you charge today. Raise it.

THANK YOU

Price the problem, not the product.

Next session

S09 · Go-to-Market & Customer Acquisition. Bring `pricing_analysis.md`.

Community

community.fitlermba.com · prompts, template, slides, recording